CausalMixGPD: Bayesian Conditional Dirichlet Process Mixtures with Generalized Pareto Tails and Causal Extensions

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Heavy-tailed outcomes arise in many scientific domains where rare events dominate risk, cost, or policy decisions. Classical parametric models often fit the center of the distribution at the expense of tail misspecification, while purely nonparametric methods typically lack principled extrapolation in regions with sparse data. Extreme value theory (EVT) provides asymptotic justification for generalized Pareto distributions (GPDs) for threshold exceedances, whereas Bayesian nonparametric Dirichlet process mixtures (DPMs) provide flexible modeling for heterogeneous bulk behavior. This article introduces `CausalMixGPD`, an R package implementing a Bayesian semiparametric framework that combines conditional DPMs for the bulk distribution with covariate-dependent GPD tails for exceedances, with posterior predictive inference for densities, distribution functions, quantiles, survival probabilities, and tail risks. The framework is conditional by construction; unconditional models arise as a special case when covariates are omitted. The package supports both Chinese restaurant process (CRP) and stick-breaking (SB) representations of the Dirichlet process, multiple kernel families for bulk modeling, and an extension to causal inference via treatment-specific conditional distributions that enable inference on distributional and tail-sensitive causal estimands.

1 Introduction

Causal inference is often summarized through average effects, but many applications require distributional comparisons between treatment regimes. In clinical trials, investigators may want to understand how a treatment changes outcomes across the outcome scale, including effects among individuals in the upper tail where events are rare but consequences can be substantial. This shift from mean-based to distribution-based causal questions makes causal analysis tightly linked to how well we can estimate (and predict) outcome distributions under competing treatment assignments.

A growing R ecosystem supports Bayesian causal inference through flexible outcome modeling and posterior uncertainty quantification. For example, bcf implements Bayesian Causal Forests for binary treatments and continuous outcomes, providing posterior inference for both average and heterogeneous treatment effects (bcf, 2024). The package bartCause builds causal estimators around Bayesian additive regression trees, using BART as a regression engine for treatment-response modeling and causal effect estimation (bar, 2025; Hill, 2011). Complementing tree-based approaches, BCEE implements a Bayesian model-averaging strategy for causal effect estimation with support for binary or continuous exposures and outcomes (BCE, 2023; Talbot *et al.*, 2015). A recurring practical difficulty in quantile-based causal reporting is quantile crossing issue, i.e., when two quantile curves for different indices cross each other. To avoid that issue this package directly estimates outcome densities and derives quantiles as functionals of the posterior predictive distribution.

Density estimation and conditional density estimation in R are well supported by Bayesian nonparametric mixture modeling software based on Dirichlet process (DP) ideas. For example, dirichletprocess provides a flexible interface for specifying DP mixture models and fitting them by posterior simulation, yielding posterior inference for mixture weights, component allocations, and predictive densities under user-chosen kernels (dir, 2023). The package DPpackage offers a broad suite of Bayesian semi- and nonparametric models in R, including DP-based formulations for marginal and conditional densities, regression functions, and model-based predictive distributions (Jara *et al.*, 2011). More recently, BNPmix emphasizes practical Bayesian nonparametric mixture approaches, providing posterior inference for clustering structure and density/regression estimation under DP and Pitman–Yor-type mixture specifications (Corradin *et al.*, 2021). However, DP mixture models are

suitable for modeling the bulk of the distribution but do not explicitly model tail behavior, which can lead to poor estimation and prediction in the tails when data are sparse or a heavy tail is present.

Bayesian implementations of Extreme Value Theory (EVT) is available in R when posterior uncertainty quantification for tail quantitites are required. For example, evdbayes provides Bayesian inference for standard extreme-value models via posterior simulation, enabling posterior and posterior-predictive summaries for extreme-event quantities (evd, 2025). For peaks-over-threshold (POT) approaches, the package POT implements a focused collection of tools for GPD modeling and threshold-based tail analysis (POT, 2024). Finally, for extreme quantile estimation and rare-event tail summaries, extremefit provides a published software implementation targeted specifically at extreme-quantile estimation (Durrieu *et al.*, 2018).

This article introduces CausalMixGPD, an R package that connects Bayesian nonparametric bulk modeling with extreme-value tail modeling, while also supporting robust causal analyses. The package provides two complementary capabilities:

- **Bayesian density estimation and prediction with optional GPD tail:** CausalMixGPD fits Dirichlet process mixture models using a user-chosen kernel family for the bulk, and can optionally splice a generalized Pareto tail above a threshold to enable tail-aware estimation and posterior predictive inference for rare-event summaries.
- **Causal estimation and prediction for RCTs and observational studies:** This package also supports causal analyses by modeling treatment-specific potetntial outcome densities and reporting contrasts as functionals of the posterior over densities.

Taken together, CausalMixGPD offers a coherent workflow for density estimation, prediction, and distributional causal reporting when tail behavior is scientifically central. % According to a document from 2026, and the accompanying CausalMixGPD article draft, this section summarizes the core preliminaries.

2 Background and Preliminaries

This chapter treats conditional outcome distributions as the fundamental inferential object. All summaries reported later are functionals of estimated conditional distributions, including conditional quantiles, tail probabilities, and distributional causal contrasts.

Let the outcome–covariate pair be defined by

$$(Y, X) \in \mathbb{R} \times \mathbb{R}^p. \tag{1}$$

For a fixed covariate value x, the conditional cumulative distribution function (CDF) and density are

$$F(y \mid x) = \Pr(Y \le y \mid X = x), \qquad f(y \mid x) = \frac{\partial}{\partial y} F(y \mid x), \tag{2}$$

and the conditional quantile function is defined by

$$Q(\tau \mid x) = \inf\Big\{ y \in \mathbb{R} : \, F(y \mid x) \ge \tau \Big\}, \qquad 0 < \tau < 1. \tag{3}$$

2.1 Dirichlet Process Mixture Model for Conditional Densities

We model the bulk conditional density of Y given $X = x$ using a Dirichlet process mixture (DPM) regression. Let $k(\cdot \mid x; \theta)$ be a user-chosen kernel family indexed by parameter θ. The hierarchical specification is

$$Y \mid X = x, \theta \sim k(\cdot \mid x; \theta), \qquad \theta \mid H \sim H, \qquad H \mid \kappa, H_0 \sim \mathrm{DP}(\kappa, H_0), \tag{4}$$

where H is an unknown mixing distribution on the kernel-parameter space, H_0 is a base measure, and $\kappa > 0$ is a concentration parameter (Ferguson, 1973; Lo, 1984).

Marginalizing H yields an (almost surely) discrete mixing distribution and an infinite mixture representation:

$$f_{\mathrm{DP}}(y \mid x) = \int k(y \mid x; \theta)\, dH(\theta) = \sum_{j=1}^{\infty} w_j\, k(y \mid x; \theta_j), \qquad w_j \geq 0, \qquad \sum_{j=1}^{\infty} w_j = 1. \tag{5}$$

A constructive representation for the weights is given by Sethuraman's stick-breaking construction (Sethuraman, 1994):

$$w_1 = V_1, \qquad w_j = V_j \prod_{\ell<j} (1 - V_\ell), \qquad V_j \overset{\text{iid}}{\sim} \mathrm{Beta}(1, \kappa), \qquad \theta_j \overset{\text{iid}}{\sim} H_0. \tag{6}$$

An alternative marginal representation is obtained by integrating out H, which induces the Blackwell–MacQueen P'olya urn predictive scheme (often described via the Chinese restaurant process) (Blackwell and MacQueen, 1973; Neal, 2000):

$$\theta_{\mathrm{new}} \mid \theta_{1:n} \sim \frac{\kappa}{\kappa + n} H_0(\cdot) + \frac{1}{\kappa + n} \sum_{m=1}^{n} \delta_{\theta_m}(\cdot). \tag{7}$$

Both stick-breaking (blocked/truncated) and allocation-based representations are widely used for posterior simulation in DPM models (Escobar and West, 1995; Neal, 2000).

2.2 Generalized Pareto Distribution for Threshold Exceedances

Extreme value theory provides a canonical approximation for exceedances above a high threshold. Let $u(x)$ be a (possibly covariate-dependent) high threshold and define the exceedance

$$Z = Y - u(x), \tag{8}$$

considered conditionally on the event $Y > u(x)$. The conditional excess distribution function is

$$F_u(z \mid x) = \Pr\big(Y - u(x) \leq z \mid Y > u(x), X = x\big), \qquad z \geq 0. \tag{9}$$

Under broad regularity conditions, $F_u(\cdot)$ is well-approximated by a generalized Pareto distribution (GPD) for sufficiently large u (Balkema and de Haan, 1974; Pickands, 1975; Coles, 2001).

With scale parameter $\sigma(x) > 0$ and shape parameter $\xi \in \mathbb{R}$, the tail CDF for $Y \mid \{Y > u(x), X = x\}$ is

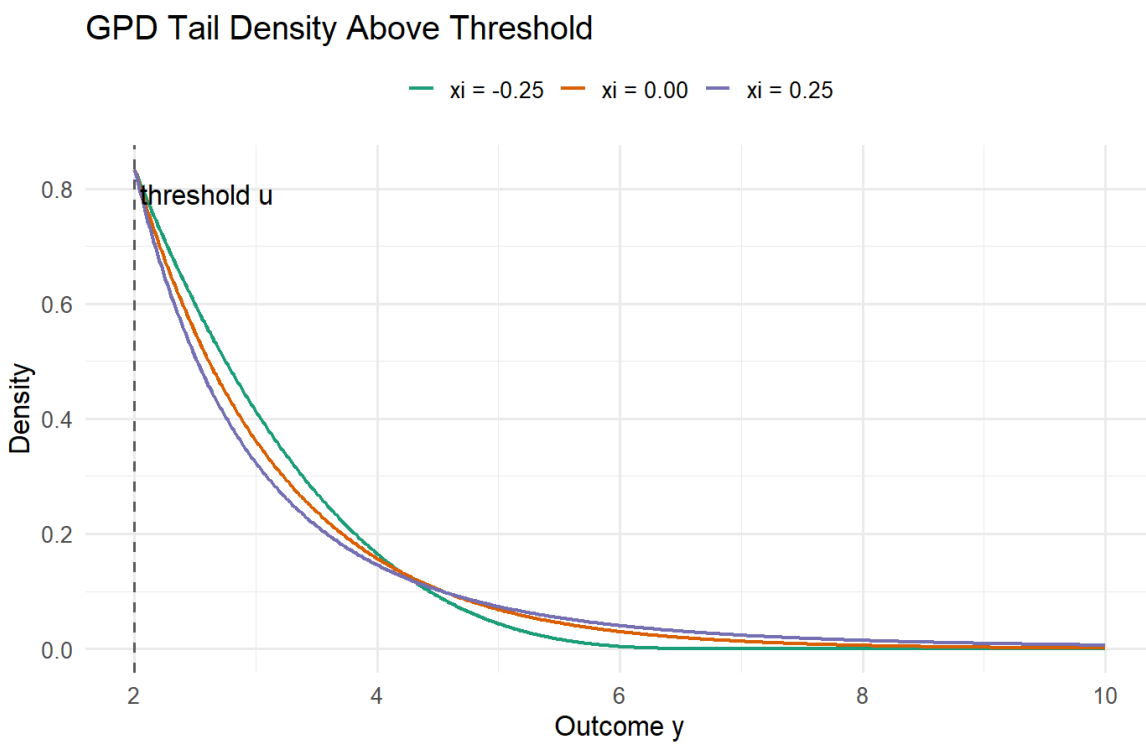
$$F_{\mathrm{GPD}}(y \mid u(x), \sigma(x), \xi, x) = \begin{cases} 1 - \left(1 + \xi \dfrac{y - u(x)}{\sigma(x)}\right)^{-1/\xi}, & \xi \neq 0, \\ 1 - \exp\left(-\dfrac{y - u(x)}{\sigma(x)}\right), & \xi = 0, \end{cases} \qquad y > u(x), \tag{10}$$

with support $y \geq u(x)$ when $\xi \geq 0$, and $u(x) \leq y \leq u(x) - \sigma(x)/\xi$ when $\xi < 0$. The corresponding density is

$$f_{\mathrm{GPD}}(y \mid u(x), \sigma(x), \xi, x) = \begin{cases} \dfrac{1}{\sigma(x)} \left(1 + \xi \dfrac{y - u(x)}{\sigma(x)}\right)^{-1/\xi - 1}, & \xi \neq 0, \\ \dfrac{1}{\sigma(x)} \exp\left(-\dfrac{y - u(x)}{\sigma(x)}\right), & \xi = 0. \end{cases} \tag{11}$$

The associated GPD quantile function is

$$Q_{\mathrm{GPD}}(\tau \mid u(x), \sigma(x), \xi, x) = \begin{cases} u(x) - \sigma(x) \log(1 - \tau), & \xi = 0, \\ u(x) + \dfrac{\sigma(x)}{\xi} \Big((1 - \tau)^{-\xi} - 1\Big), & \xi \neq 0, \end{cases} \qquad 0 < \tau < 1. \tag{12}$$



2.3 Spliced DPM–GPD Conditional Distribution

Dirichlet process mixture (DPM) regression models provide a highly flexible representation of the *bulk* of the conditional distribution $Y \mid X = x$, accommodating multimodality, skewness, and heterogeneous dispersion through mixture components. However, in the far upper tail-where data are intrinsically sparse-pure mixture-based extrapolation can be unstable and may not reflect the regular variation behavior typically assumed in extreme value theory (EVT). Conversely, EVT provides an asymptotically justified parametric description of threshold exceedances via the generalized Pareto distribution (GPD), but it is not intended to model the full distribution. We therefore adopt a *spliced* (bulk–tail) construction that retains the DPM fit below a high threshold and replaces the upper tail by a GPD component (Frigessi *et al.*, 2002; Behrens *et al.*, 2004; Coles, 2001).

To make the splicing and downstream functionals explicit, we collect the unknown bulk regression parameters into Θ and the tail parameters into Φ. Specifically, the bulk model in (5) can be written as

$$f_{\mathrm{DP}}(y \mid x; \Theta) = \sum_{j=1}^{\infty} w_j \, k(y \mid x; \theta_j(x)) \,, \qquad \Theta = \{\beta_j\}_{j \geq 1}, \tag{13}$$

where β_j denotes component-specific regression/shape coefficients and $\theta_j(x)$ denotes the kernel parameter vector induced at covariate value x through the corresponding coefficients in Θ. Mixture weights $\{w_j\}$ are generated by the DP backend (SB or CRP representation) and are suppressed in this compact notation.

For the tail block, let

$$\Phi = \{\beta_u, \beta_\sigma, \xi\}, \tag{14}$$

where $u(x)$ and $\sigma(x)$ are induced by covariates and tail-regression coefficients, and ξ is the tail shape parameter. Thus, Θ and Φ are global parameter collections, while x enters through these mappings. The package allows users to control which kernel and tail parameters vary with covariates (e.g., via link-based regression for selected parameters) and which are treated as fixed or purely a priori parameters (Section~3).

Let

$$p_u(x; \Theta) = F_{\mathrm{DP}}(u(x) \mid x; \Theta) \tag{15}$$

denote the bulk probability mass below the threshold under the DPM fit. The spliced conditional CDF is

$$F(y \mid x; \Theta, \Phi) = \begin{cases} F_{\mathrm{DP}}(y \mid x; \Theta), & y \le u(x), \\ p_u(x; \Theta) + \{1 - p_u(x; \Theta)\} \, F_{\mathrm{GPD}}\big(y \mid x; \Phi\big), & y > u(x), \end{cases} \tag{16}$$

where $F_{\mathrm{GPD}}(\cdot)$ is the GPD CDF on the exceedance region (Section~2.2). The construction is continuous at $u(x)$ and yields a proper distribution: the bulk contributes mass $p_u(x; \Theta)$ and the tail contributes the remaining mass $1 - p_u(x; \Theta)$.

Differentiating (16) yields the spliced density

$$f(y \mid x; \Theta, \Phi) = \begin{cases} f_{\mathrm{DP}}(y \mid x; \Theta), & y \le u(x), \\ \{1 - p_u(x; \Theta)\} \, f_{\mathrm{GPD}}\big(y \mid x; \Phi\big), & y > u(x), \end{cases} \tag{17}$$

so the tail density is a *scaled* GPD density, with scaling ensuring normalization of $f(\cdot \mid x; \Theta, \Phi)$.

For $y > u(x)$, the conditional survival function decomposes as

$$\Pr(Y > y \mid X = x; \Theta, \Phi) = \{1 - p_u(x; \Theta)\} \Big[1 - F_{\mathrm{GPD}}\big(y \mid x; \Phi\big)\Big]. \tag{18}$$

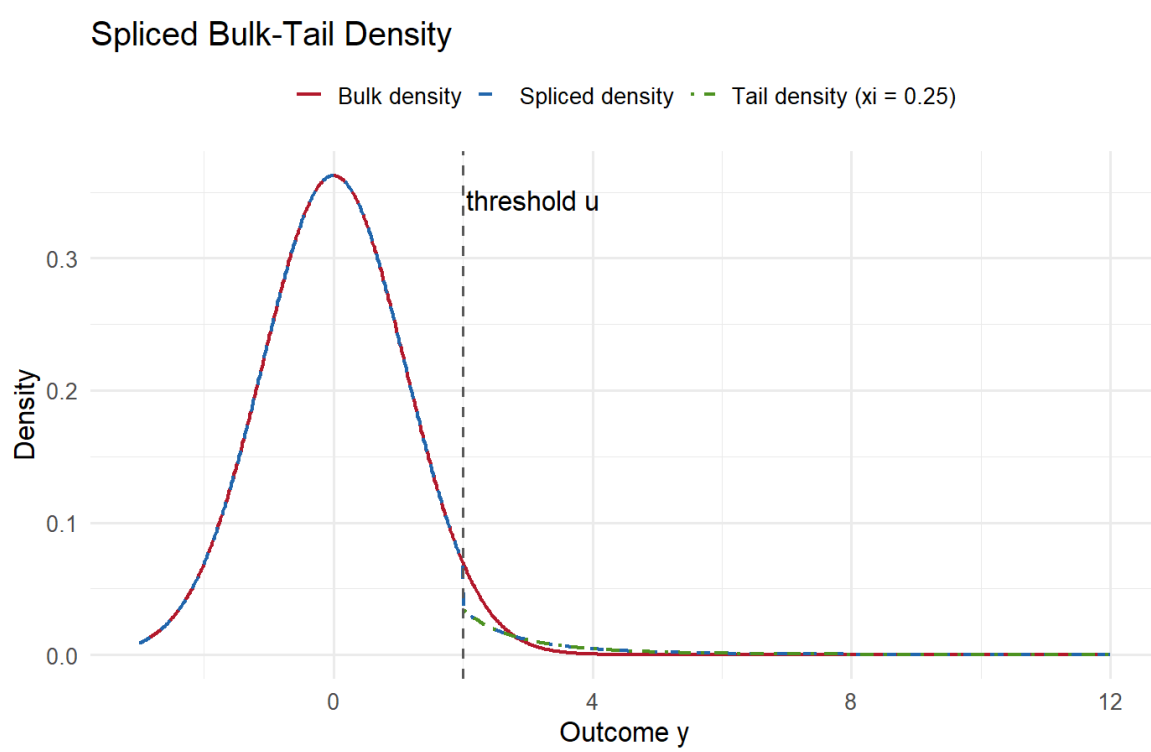
Quantiles follow by inversion of (16). For $\tau \in (0, 1)$,

$$Q(\tau \mid x; \Theta, \Phi) = \begin{cases} Q_{\mathrm{DP}}(\tau \mid x; \Theta), & \tau \le p_u(x; \Theta), \\ Q_{\mathrm{GPD}}\big(\tilde{\tau}(x; \Theta) \mid x; \Phi\big), & \tau > p_u(x; \Theta), \end{cases} \tag{19}$$

where the tail-rescaled probability level is

$$\tilde{\tau}(x; \Theta) = \frac{\tau - p_u(x; \Theta)}{1 - p_u(x; \Theta)} \in (0, 1), \tag{20}$$

and Q_{GPD} is given in (12). Thus, upper quantiles are determined jointly by the bulk exceedance probability $1 - p_u(x; \Theta)$ and the conditional exceedance distribution governed by Φ.



This spliced conditional distribution is the central predictive object used throughout the package. In the causal extension (Section~2.4), the same construction is applied separately to treatment-specific conditional distributions $F_a(\cdot \mid x)$, enabling causal contrasts based on densities, quantiles, and tail risks rather than only mean-scale effects.

2.4 Causal Inference: Notation, Identification, and Reported Estimands

We use the potential outcomes framework (Neyman, 1990; Rubin, 1974; Imbens and Rubin, 2015). Let A denote a binary treatment indicator, let X denote observed pre-treatment covariates, and let Y denote the observed outcome. Each unit has two potential outcomes, $Y(1)$ and $Y(0)$, and the observed outcome satisfies

$$Y = A\,Y(1) + \big(1 - A\big)\,Y(0). \tag{21}$$

The treatment-specific conditional distribution functions are the fundamental inferential objects:

$$F_a(y \mid x) = \Pr\{Y(a) \le y \mid X = x\}, \qquad a \in \{0, 1\}. \tag{22}$$

In this package, the corresponding conditional densities are

$$f_a(y \mid x) = \frac{\partial}{\partial y} F_a(y \mid x) \tag{23}$$

where $f_a(y \mid x)$ assumes the spliced DPM structure in~(17). Conditional quantiles are defined by inversion of the conditional CDF:

$$Q_a(\tau \mid x) = \inf\{y : \, F_a(y \mid x) \ge \tau\}, \qquad \tau \in (0, 1). \tag{24}$$

Conditional means are functionals of the conditional density:

$$\mu_a(x) = \mathrm{E}\{Y(a) \mid X = x\} = \int y\, f_a(y \mid x)\, dy. \tag{25}$$

Marginal (standardized) distributions are obtained by averaging conditional distributions over a covariate distribution. The package reports population-standardized and treated-standardized functionals:

$$F_a^{\mathrm{m}}(y) = \mathrm{E}\big\{F_a(y \mid X)\big\}, \qquad F_a^{\mathrm{t}}(y) = \mathrm{E}\big\{F_a(y \mid X) \mid A = 1\big\}. \tag{26}$$

The corresponding marginal quantiles are

$$Q_a^{\mathrm{m}}(\tau) = \inf\{y : \, F_a^{\mathrm{m}}(y) \ge \tau\}, \qquad Q_a^{\mathrm{t}}(\tau) = \inf\{y : \, F_a^{\mathrm{t}}(y) \ge \tau\}. \tag{27}$$

Marginal means are

$$\mu_a^{\mathrm{m}} = \mathrm{E}\big\{\mu_a(X)\big\}, \qquad \mu_a^{\mathrm{t}} = \mathrm{E}\big\{\mu_a(X) \mid A = 1\big\}. \tag{28}$$

Identification of these quantities depends on the study design. In randomized experiments, randomization together with positivity implies exchangeability between treatment assignment and potential outcomes (Imbens and Rubin, 2015). In observational studies, we rely on the following conditions (Rosenbaum and Rubin, 1983; Imbens and Rubin, 2015):

- **SUTVA:** no interference between units and no hidden versions of treatment.
- **Consistency:** if $A = a$, then the observed outcome equals the corresponding potential outcome, $Y = Y(a)$.
- **Conditional ignorability:** treatment is as-if randomized given covariates,

$$\big(Y(0), Y(1)\big) \;\perp\; A \;\mid\; X. \tag{29}$$

- **Overlap (positivity):** each covariate profile has positive probability of receiving either treatment,

$$0 < \Pr(A = 1 \mid X = x) < 1 \tag{30}$$

  for covariate values of interest.

Under these conditions, the treatment-specific conditional distributions are identified from the observed data:

$$F_a(y \mid x) = \Pr(Y \leq y \mid A = a, X = x), \qquad a \in \{0, 1\}. \tag{31}$$

In observational settings, we use the propensity score (PS) to support the design stage (Rosenbaum and Rubin, 1983). The PS is the treatment assignment probability given covariates:

$$\rho(x) = \Pr(A = 1 \mid X = x). \tag{32}$$

A key property of the true propensity score is that conditioning on it balances covariates across treatment groups:

$$A \perp X \mid \rho(X). \tag{33}$$

With estimated scores this balancing property is approximate in finite samples. Following the two-stage strategy described in the thesis, we first estimate $\rho(x)$ using only (A, X) and then augment the outcome model covariates with the estimated score (Rosenbaum and Rubin, 1983):

$$\widehat{\rho}(x) \approx \rho(x), \qquad r(x) = \left(x^{\mathsf{T}}, \widehat{\rho}(x)\right)^{\mathsf{T}}. \tag{34}$$

The conditional outcome distributions are then modeled separately within each treatment arm as functions of the augmented predictor $r(x)$, and causal contrasts are computed as functionals of the estimated treatment-specific distributions.

The package reports the following causal estimands:

- **Average Treatment Effect (ATE):**

$$\mathrm{ATE} = \mu_1^{\mathrm{m}} - \mu_0^{\mathrm{m}}. \tag{35}$$

- **Average Treatment Effect on the Treated (ATT):**

$$\mathrm{ATT} = \mu_1^{\mathrm{t}} - \mu_0^{\mathrm{t}}. \tag{36}$$

- **Quantile Treatment Effect (QTE):** for any $\tau \in (0, 1)$ (Firpo, 2007),

$$\mathrm{QTE}(\tau) = Q_1^{\mathrm{m}}(\tau) - Q_0^{\mathrm{m}}(\tau). \tag{37}$$

- **Quantile Treatment Effect on the Treated (QTT):** for any $\tau \in (0, 1)$,

$$\mathrm{QTT}(\tau) = Q_1^{\mathrm{t}}(\tau) - Q_0^{\mathrm{t}}(\tau). \tag{38}$$

- **Conditional Average Treatment Effect (CATE):**

$$\mathrm{CATE}(x) = \mu_1(x) - \mu_0(x). \tag{39}$$

- **Conditional Quantile Treatment Effect (CQTE):** for any $\tau \in (0, 1)$,

$$\mathrm{CQTE}(\tau \mid x) = Q_1(\tau \mid x) - Q_0(\tau \mid x). \tag{40}$$

This section established the main probabilistic and causal building blocks used in the remainder of the work. We first defined conditional distributional targets and introduced a Dirichlet process mixture model to flexibly estimate bulk conditional outcome densities. We then reviewed generalized Pareto modeling for threshold exceedances and constructed a spliced DPM–GPD conditional distribution that preserves the estimated bulk while enabling principled tail extrapolation. Finally, we introduced the potential outcomes framework and the treatment-effect estimands reported in the package, showing how marginal and conditional effects can be obtained as functionals of treatment-specific conditional distributions (with propensity-score augmentation supporting confounding adjustment in observational studies). Subsequent chapters build on these preliminaries to specify the full hierarchical model, posterior computation, and empirical evaluation of tail-aware distributional causal effects.

3 Package Overview: Workflow, Model, and Inference

This section describes the main workflow provided by CausalMixGPD for one-arm conditional modeling and prediction when a generalized Pareto tail is spliced above a covariate-dependent threshold. The causal extension reuses the same modeling, estimation, and prediction machinery after introducing treatment-specific outcome models and a propensity score component; we defer those additions to the causal section.

3.1 Augmented DPM–GPD model, likelihood, and priors

Let the observed data be

$$\mathcal{D} = \{(y_i, x_i)\}_{i=1}^n,$$

```
data("nc_posX100_p3_k2", package = "CausalMixGPD")
dat <- data.frame(y = nc_posX100_p3_k2$y, nc_posX100_p3_k2$X)
```

with $x_i \in \mathbb{R}^p$ denoting the covariate vector (including an intercept if desired). The target conditional distribution $F(\cdot \mid x)$ and its spliced DPM–GPD construction are defined in Section~2, with the spliced CDF and density given in (16)–(17). Posterior computation in CausalMixGPD approximates the bulk DPM by a finite truncation with J mixture components,

$$f_{\mathrm{DP}}(y \mid x; \Theta) \;\approx\; \sum_{j=1}^{J} w_j \, k(y \mid x; \theta_j), \qquad j = 1, \ldots, J,$$

where j indexes mixture components, $w_j \geq 0$, and $\sum_{j=1}^{J} w_j = 1$. Kernel parameters can be constant or covariate-dependent through link specifications of the form

$$g(\psi_j(x)) = x^\top \beta_{j,\psi}, \tag{41}$$

where $g(\cdot)$ enforces parameter support (e.g., positive scale parameters).

```
mcmc_fixed <- list(
  niter = 200,
  nburnin = 50,
  thin = 1,
  nchains = 1,
  seed = 1
)
```

```
fit <- dpmgpd(
  formula = y ~ x1 + x2 + x3,
  data = dat,
  backend = "sb",
  kernel = "lognormal",
  components = 5,
```

```
  mcmc = mcmc_fixed
)
```

For the spliced model, let $u(x)$ be the threshold, $\sigma(x) > 0$ the tail scale, and $\xi \in \mathbb{R}$ the tail shape (as in Section~2.3). Define $\delta_i = \mathbf{1}\{y_i > u(x_i)\}$. Using the spliced density (17) with the truncated bulk mixture, the likelihood is

$$L(\Theta, \Phi; \mathcal{D}) = \prod_{i=1}^{n} f(y_i \mid x_i; \Theta, \Phi), \tag{42}$$

where Θ collects the truncation-level bulk parameters $\{w_j, \theta_j\}_{j=1}^{J}$, and Φ collects the tail parameters governing $u(x)$, $\sigma(x)$, and ξ. Equivalently, the log-likelihood can be written as

$$\begin{aligned} \log L(\Theta, \Phi; \mathcal{D}) \;=\; & \sum_{i=1}^{n} (1 - \delta_i) \, \log f_{\mathrm{DP}}(y_i \mid x_i; \Theta) \\ & + \sum_{i=1}^{n} \delta_i \Big[\log\big\{1 - F_{\mathrm{DP}}(u(x_i) \mid x_i; \Theta)\big\} + \log f_{\mathrm{GPD}}\big(y_i \mid x_i; \Phi\big) \Big], \end{aligned} \tag{43}$$

where f_{GPD} is given in (11) and $F_{\mathrm{DP}}(\cdot \mid x)$ is the bulk mixture CDF induced by the truncated mixture.

Priors follow the decomposition implied by (6) and (7). Under the stick-breaking (SB) backend, the truncation-level weights are generated through Beta stick breaks (Section~2, (6)), which are represented in nimble using the Beta distribution in model code (see dbeta). Under the Chinese restaurant process (CRP) backend, the allocation-based representation is implemented using the CRP distribution in nimble (see dCRP), matching the predictive representation in (7). Kernel parameters and tail parameters are assigned weakly informative priors, with regression coefficients $\beta_{j,\psi}$ arising through the link representation (41). The same link construction is used for covariate-dependent $u(x)$ and $\sigma(x)$ when those are modeled as functions of x.

3.2 MCMC algorithm, convergence diagnostics, and parameter extraction

Posterior simulation targets $p(\Theta, \Phi \mid \mathcal{D}) \propto L(\Theta, \Phi; \mathcal{D})\, p(\Theta, \Phi)$ using the likelihood (42) and the prior structure implied by the SB or CRP representation (Section~2, (6)–(7)). Given a model specification, CausalMixGPD runs MCMC through nimble (de Valpine *et al.*, 2017; nim, 2025) under the chosen backend; SB uses Beta stick breaks in model code (see dbeta) and CRP uses the CRP distribution for allocations (see dCRP). Users control the number of iterations, burn-in, thinning, and number of chains through the mcmc argument in the wrappers.

Convergence checking is supported through standard multi-chain diagnostics and trace-based visualizations. The model object supports summary() for posterior summaries, plot() for diagnostic plots (trace, running mean, autocorrelation, and multi-chain diagnostics such as $\widehat{R}$ when multiple chains are used), and params() as a lightweight extractor returning posterior mean parameters reshaped to natural dimensions. Interval summaries used by predict() can be chosen as equal-tailed credible intervals or HPD intervals as described in Section~3.3 (Gelman *et al.*, 2013; Plummer *et al.*, 2024). Diagnostic plotting relies on established MCMC diagnostic tooling (ggm, 2025).

```
overview_summary <- summary(fit)
p_hat <- params(fit)
p_hat
```

```
MixGPD summary | backend: Stick-Breaking Process | kernel: Lognormal Distribution | GPD tail: TRUE | eps
n = 100 | components = 5
Summary
Initial components: 5 | Components after truncation: 4

Summary table
          parameter   mean    sd q0.025 q0.500 q0.975     ess
```

```
        weights[1]  0.422  0.04  0.358  0.447  0.481   6.248
        weights[2]  0.306 0.057  0.204  0.307  0.375   1.856
        weights[3]  0.147 0.022  0.123  0.141  0.188  10.861
        weights[4]  0.116  0.02  0.077  0.116  0.148   2.611
             alpha  2.034  0.97  0.562  1.842  4.606  10.407
beta_meanlog[1, 1]   0.35 1.172  -1.76  0.456  2.186   9.324
beta_meanlog[2, 1] -0.099 0.395  -0.56 -0.243  0.712   2.675
beta_meanlog[3, 1]   0.22 1.741  -2.49  -0.32  3.987   2.408
beta_meanlog[4, 1]  0.047 2.361 -3.981  0.006  4.989   3.969
beta_meanlog[5, 1] -0.388 1.037 -2.729 -0.269  1.192   4.095
beta_meanlog[1, 2]  -0.55 1.106 -2.542 -0.542  1.608  15.052
beta_meanlog[2, 2] -0.937 0.854 -2.177 -1.011  0.836   7.569
beta_meanlog[3, 2]  0.548 2.219   -3.1  0.097  4.346   2.541
beta_meanlog[4, 2]  0.358 1.788 -2.327  0.037  3.476   6.222
beta_meanlog[5, 2]  0.884 1.979 -2.061   0.43  4.568    5.33
beta_meanlog[1, 3] -0.318 1.482 -3.049 -0.165  2.992   7.302
beta_meanlog[2, 3]  0.108 0.404 -0.631  0.001  1.095    5.89
beta_meanlog[3, 3]  0.704  1.33 -1.893  0.249  2.841    6.22
beta_meanlog[4, 3] -0.309 1.469 -2.474 -0.663  3.054  14.179
beta_meanlog[5, 3] -0.045 0.983 -1.653 -0.101  2.542  15.034
beta_tail_scale[1]   0.28 0.207 -0.022  0.266   0.62   7.198
beta_tail_scale[2]  0.046 0.249 -0.356  0.005   0.53  22.088
beta_tail_scale[3]  0.071 0.153 -0.192  0.051   0.36    10.1
 beta_threshold[1] -0.052 0.145 -0.312 -0.067  0.242  45.398
 beta_threshold[2] -0.105 0.165 -0.417 -0.113  0.228 117.191
 beta_threshold[3]  0.074  0.15 -0.224  0.095  0.351  12.248
           sdlog_u  1.356 0.153  0.987  1.342  1.668   5.438
        tail_shape  0.427 0.105  0.244  0.405  0.588  12.809
          sdlog[1]  1.517 0.873  0.648  1.345  4.285  20.734
          sdlog[2]  2.222 1.157  0.836  2.033   4.99  10.333
          sdlog[3]  1.481 0.794  0.482  1.212   3.22  10.485
          sdlog[4]  1.482 0.863  0.145  1.464  3.128  22.462
```

3.2.1 Bulk-only special case (no GPD tail)

Setting GPD=FALSE removes the splicing step so that $f(y \mid x; \Theta) \equiv f_{\mathrm{DP}}(y \mid x; \Theta)$, and $L(\Theta, \Phi; \mathcal{D})$ reduces to the bulk-mixture likelihood in Θ. All estimation and prediction targets described below remain available, with tail-specific terms omitted. The wrapper dpmix() fits this bulk-only model, while dpmgpd() fits the augmented (spliced) model.

3.3 Posterior functionals, interval summaries and prediction

The estimands reported by CausalMixGPD are functionals of the estimated conditional distribution $F(\cdot \mid x)$ from Section~2. In this article we focus on four conditional functionals: density $f(y \mid x)$, survival $S(y \mid x) = 1 - F(y \mid x)$, quantiles $Q(\tau \mid x)$, and mean-type summaries.

Let $(\Theta^{(s)}, \Phi^{(s)})_{s=1}^{S}$ denote post-burn-in draws from the posterior. For density, survival, and quantiles, CausalMixGPD evaluates the corresponding draw-wise functional using the spliced formulas (16)–(19) (with the truncated bulk mixture), and then summarizes across draws. Specifically, for a generic scalar functional $T(\Theta, \Phi; x)$ (e.g., $f(y_0 \mid x)$ or $Q(\tau \mid x)$),

$$\widehat{T}(x) = \frac{1}{S} \sum_{s=1}^{S} T(\Theta^{(s)}, \Phi^{(s)}; x),$$

and uncertainty is summarized either by equal-tailed credible intervals (posterior quantiles) or by highest posterior density (HPD) intervals (shortest intervals covering the target posterior mass). Equal-tailed intervals

and general Bayesian posterior summaries follow standard practice (Gelman *et al.*, 2013); HPD intervals are computed from the MCMC draws using established implementations (Plummer *et al.*, 2024).

Mean-type summaries are handled differently in the package. For type="mean" and type="rmean", CausalMixGPD uses posterior predictive Monte Carlo within each posterior draw rather than direct plug-in evaluation. For a fixed covariate value x, within draw s the package generates

$$y_1^{(s)}, \ldots, y_M^{(s)} \;\sim\; f(\cdot \mid x; \Theta^{(s)}, \Phi^{(s)}),$$

and computes

$$\mu^{(s)}(x) = \frac{1}{M}\sum_{m=1}^{M} y_m^{(s)}, \qquad \mu_c^{(s)}(x) = \frac{1}{M}\sum_{m=1}^{M} \min\{y_m^{(s)}, c\},$$

corresponding to the conditional mean and the restricted mean at cutoff c, respectively. Posterior summaries and intervals are then formed from $\{\mu^{(s)}(x)\}_{s=1}^{S}$ or $\{\mu_c^{(s)}(x)\}_{s=1}^{S}$. Under the spliced model, the conditional mean is infinite when $\xi \geq 1$; accordingly, CausalMixGPD flags type="mean" as infinite when there is posterior mass with $\xi \geq 1$, while type="rmean" remains finite by construction.

Using the same fitted model fit from Section~3.1, we now compute posterior summaries on the original training covariates (default behavior of predict() when newdata is not supplied).

```
q_grid <- c(0.50, 0.90, 0.95, 0.99)
x_eval <- dat[1:20, c("x1", "x2", "x3")]

est_quant <- predict(fit, newdata = x_eval, type = "quantile", index = q_grid,
                     interval = "hpd", level = 0.95)
```

For a new covariate value $x^\star$, prediction is based on the posterior predictive distribution

$$p(y^\star \mid x^\star, \mathcal{D}) = \int f(y^\star \mid x^\star; \Theta, \Phi)\, p(\Theta, \Phi \mid \mathcal{D})\, d\Theta\, d\Phi.$$

The predict() method returns posterior summaries for the same functional targets as in Section~3.3. For type="density" and type="survival", the user supplies a grid of y values and the method returns pointwise posterior means with interval bounds computed draw-by-draw. For type="quantile", the user supplies quantile indices τ and the method returns posterior summaries of $Q(\tau \mid x^\star)$ computed using the spliced quantile representation in (19). For type="mean" and type="rmean", prediction uses posterior predictive Monte Carlo as described above, with x replaced by $x^\star$ and with user-controlled M through nsim_mean.

```
q_levels <- c(0.25, 0.50, 0.75)
x_new <- as.data.frame(lapply(
  dat[, c("x1", "x2", "x3")],
  quantile,
  probs = q_levels,
  na.rm = TRUE
))
rownames(x_new) <- c("q25", "q50", "q75")
y_grid <- seq(0, 10, length.out = 200)
p_grid <- c(0.50, 0.90, 0.95, 0.99)
```

```
pdens <- predict(fit, newdata = x_new, y = y_grid, type = "density",
                 interval = "credible", level = 0.95)
```

```
psurv <- predict(fit, newdata = x_new, y = y_grid, type = "survival",
                 interval = "credible", level = 0.95)
```

```
pquant <- predict(fit, newdata = x_new, type = "quantile", index = p_grid,
                  interval = "hpd", level = 0.95)
```

3.4 Causal extension and propensity score augmentation

This package extends the one-arm conditional mixture regression framework to two-arm causal studies by fitting an outcome model under treatment and under control, optionally augmenting the outcome covariates with a propensity score (PS) summary. Throughout this section we write the model in its default *augmented spliced* form (bulk mixture + GPD tail), using the same conditional distributional building blocks introduced earlier (so we do not restate the spliced density; see (17) and the corresponding conditional functionals defined in the previous sections).

3.4.1 Data, model components, and likelihood factorization

Let

$$\mathcal{D} = \{(y_i, a_i, \boldsymbol{x}_i)\}_{i=1}^n, \qquad a_i \in \{0, 1\},$$

where $a_i = 1$ denotes treatment and $a_i = 0$ denotes control. The causal interface consists of two pieces.

First, when PS augmentation is enabled, a binary regression model is used for the treatment mechanism

$$a_i \mid \boldsymbol{x}_i, \boldsymbol{\gamma} \sim \text{Bernoulli}\big(e_{\boldsymbol{\gamma}}(\boldsymbol{x}_i)\big), \tag{44}$$

$$h(e_{\boldsymbol{\gamma}}(\boldsymbol{x}_i)) = \gamma_0 + \boldsymbol{x}_i^\top \boldsymbol{\gamma}, \qquad h \in \{\text{logit}, \text{probit}\}, \tag{45}$$

which is consistent with the definition and balancing property in (32)–(33). The package also supports a `"naive"` option, in which $e(\boldsymbol{x})$ is taken to be constant (no covariate dependence).

Second, the outcome model is fit separately within each arm. Denote by $F_a(\cdot \mid \boldsymbol{r})$ the fitted conditional outcome distribution under arm $a \in \{0, 1\}$, where $\boldsymbol{r}$ is the covariate vector used by the outcome model. With PS augmentation, the package constructs an *augmented* covariate vector

$$\boldsymbol{r}(\boldsymbol{x}) = \Big(1,\ \boldsymbol{x}^\top,\ \psi\big(\widehat{e}(\boldsymbol{x})\big)\Big)^\top, \tag{46}$$

where $\widehat{e}(\boldsymbol{x})$ is a posterior summary of the PS (posterior mean or median, controlled by `ps_summary`), and $\psi(\cdot)$ is either $\psi(p) = \text{logit}(p)$ or $\psi(p) = p$ (controlled by `ps_scale`). When PS augmentation is disabled, $\boldsymbol{r}(\boldsymbol{x}) = (1, \boldsymbol{x}^\top)^\top$.

Within each arm, the conditional density $f_a(y \mid \boldsymbol{r})$ follows the same mixture regression + optional GPD tail specification described in the one-arm section (kernel choice, link structure $g(\cdot)$ for covariate-dependent parameters, and either `"sb"` or `"crp"` backend for the DP mixture). Let $\boldsymbol{\Theta}_a$ collect the arm-specific mixture and tail parameters. The arm-wise likelihood contributions are

$$L_a(\boldsymbol{\Theta}_a; \mathcal{D}) = \prod_{i:\, a_i = a} f_a(y_i \mid \boldsymbol{r}(\boldsymbol{x}_i); \boldsymbol{\Theta}_a)\,, \qquad a \in \{0, 1\},$$

with $f_a(\cdot \mid \cdot)$ given by the spliced construction already defined (bulk mixture below threshold and GPD exceedances above threshold). Practically, the implementation uses a two-stage workflow: (i) fit the PS model using (44)–(45), then (ii) compute $\widehat{e}(\boldsymbol{x}_i)$ and build $\boldsymbol{r}(\boldsymbol{x}_i)$ in (46) before fitting the two arm-specific outcome models.

3.4.2 Prior specification (PS then outcome)

For the PS regression coefficients, the default prior is independent Normal,

$$\gamma_0 \sim \mathcal{N}(m_0, s_0^2), \qquad \gamma_k \sim \mathcal{N}(m_0, s_0^2),$$

with defaults controlled by `ps_prior`.

For each arm's outcome model, priors follow the same structure as the one-arm case: a DP mixture prior (with either truncated stick-breaking or CRP allocation, implemented in `nimble` (de Valpine *et al.*, 2017; nim, 2025)) and kernel-/tail-specific priors on the bulk and GPD parameters. Since the causal fit is simply a pair of one-arm fits (treated and control), all customization options for kernels, links, and tail inclusion apply arm-wise.

3.4.3 MCMC algorithm, diagnostics, and parameter extraction

The causal fit runs MCMC in two stages, each with its own iteration controls.

(i) PS stage: posterior simulation for $\boldsymbol{\gamma}$ in (44)–(45) using `mcmc_ps` settings. The PS posterior draws are summarized to obtain $\widehat{e}(\boldsymbol{x}_i)$, which is optionally transformed via `ps_scale` and appended to the outcome covariates as in (46).

(ii) Outcome stage: arm-specific posterior simulation for $\boldsymbol{\Theta}_0$ and $\boldsymbol{\Theta}_1$ using `mcmc_outcome` settings, with either `"sb"` or `"crp"` backend.

For routine convergence checks, users can inspect trace plots and autocorrelation for monitored parameters and (when running multiple chains) compare between-chain and within-chain mixing. The package stores MCMC samples in the fitted object, and standard diagnostics can be applied after converting samples to `coda` objects (e.g., effective sample size, Geweke diagnostics, and HPD intervals via `coda::HPDinterval`; see the `coda` reference at the end of this message). Posterior parameter summaries can be extracted via the exported `params()` method, which returns arm-specific parameter tables for causal fits.

3.4.4 Estimation and interval summaries for causal contrasts

All reported causal quantities are computed as functionals of the fitted arm-specific conditional distributions. Let $T_a(\boldsymbol{x})$ denote any conditional functional under arm a (density, survival, quantile, or mean/restricted mean), computed from $F_a(\cdot \mid \boldsymbol{r}(\boldsymbol{x}))$ using the same definitions as in the one-arm case. The corresponding conditional causal contrast is

$$\Delta_T(\boldsymbol{x}) = T_1(\boldsymbol{x}) - T_0(\boldsymbol{x}).$$

The package computes $\Delta_T(\boldsymbol{x})$ *draw-by-draw* from posterior samples, then summarizes $\Delta_T(\boldsymbol{x})$ by a posterior mean/median and uncertainty intervals. Equal-tailed credible intervals are formed by posterior quantiles, while HPD intervals are computed using `coda::HPDinterval`.

The main causal estimators provided by the package are:

(a) Conditional effects at covariate profiles. For a user-supplied set of covariate rows $\{\boldsymbol{x}_m^\star\}_{m=1}^M$,

$$\mathrm{CATE}(\boldsymbol{x}_m^\star) = \mu_1(\boldsymbol{x}_m^\star) - \mu_0(\boldsymbol{x}_m^\star), \qquad \mathrm{CQTE}(\tau \mid \boldsymbol{x}_m^\star) = Q_1(\tau \mid \boldsymbol{x}_m^\star) - Q_0(\tau \mid \boldsymbol{x}_m^\star),$$

where $\mu_a(\boldsymbol{x}) = \mathbb{E}(Y \mid A = a, \boldsymbol{X} = \boldsymbol{x})$ and $Q_a(\tau \mid \boldsymbol{x})$ is the conditional quantile function. In heavy-tailed settings, $\mu_a(\boldsymbol{x})$ can be unstable when the implied tail shape yields infinite mean; the package therefore supports both `type="mean"` and `type="rmean"` for (restricted) mean-based effects, with restricted means computed as $\mathbb{E}[\min\{Y, c\} \mid A = a, \boldsymbol{X} = \boldsymbol{x}]$ at user-specified cutoff c.

(b) Marginal (standardized) summaries. The package reports marginal ATE and marginal QTE-style summaries by empirical standardization over covariate profiles:

$$\mathrm{ATE} = \frac{1}{n}\sum_{i=1}^{n}\Big\{\mu_1(\boldsymbol{x}_i) - \mu_0(\boldsymbol{x}_i)\Big\}, \tag{47}$$

$$\mathrm{QTE}(\tau) = Q_1^{\mathrm{m}}(\tau) - Q_0^{\mathrm{m}}(\tau), \qquad Q_a^{\mathrm{m}}(\tau) = \inf\{y : F_a^{\mathrm{m}}(y) \geq \tau\}, \quad F_a^{\mathrm{m}}(y) = \frac{1}{n}\sum_{i=1}^{n} F_a(y \mid \boldsymbol{x}_i). \tag{48}$$

Treated-standardized analogues (ATT, QTT) are obtained by replacing the full-sample covariate empirical distribution with the treated-subsample empirical distribution $\{i : a_i = 1\}$. In the current implementation, `ate()` and `att()` aggregate draw-wise conditional mean contrasts across rows, while `qte()` and `qtt()` compute draw-wise arm-specific marginal quantiles and then contrast them.

3.4.5 Posterior prediction at new covariate profiles

Prediction in the causal setup proceeds by producing arm-specific predictive summaries at new covariates and then differencing when required. For new covariates $\boldsymbol{x}^\star$, the package first predicts the PS (if enabled),

forms $\boldsymbol{r}(\boldsymbol{x}^\star)$ via (46), and then evaluates the desired distributional functional under both arms. For `type = "mean"` and `type = "quantile"`, `predict()` returns treated-minus-control summaries and stores arm-specific predictions as attributes; for `type = "density"`, `"survival"`, and `"prob"`, it returns arm-specific summaries directly.

A recommended way to build an interpretable prediction grid is to use coordinate-wise empirical quartiles. Let $q_{k,p}$ be the pth sample quantile of covariate x_k for $p \in \{0.25, 0.5, 0.75\}$. The grid

$$\mathcal{X}_\star = \prod_{k=1}^{p} \{q_{k,0.25}, q_{k,0.5}, q_{k,0.75}\}$$

yields 3^p representative covariate profiles at which CATE, CQTE, survival contrasts, and other predictive contrasts can be reported.

3.4.6 User-facing workflow (code)

The following example uses the formula interface and the high-level wrapper, fitting the augmented spliced model by default.

```
data("causal_pos500_p3_k2", package = "CausalMixGPD")
dat <- causal_pos500_p3_k2
df  <- data.frame(y = dat$y, A = dat$A, dat$X)
```

```
mcmc_fixed <- list(
  niter = 200,
  nburnin = 50,
  thin = 1,
  nchains = 1,
  seed = 1
)
```

```
cfit <- dpmgpd(
  formula = y ~ x1 + x2 + x3,
  data = df,
  treat = "A",
  backend = "sb",
  kernel = "lognormal",
  components = 5,
  PS = "logit",
  ps_scale = "logit",
  ps_summary = "mean",
  mcmc_outcome = mcmc_fixed,
  mcmc_ps = mcmc_fixed
)
```

```
ate_hat <- ate(cfit, level = 0.90, interval = "credible")
```

```
qte_hat <- qte(cfit, probs = c(0.50, 0.90, 0.95), level = 0.90, interval = "hpd")
```

```
Xnew <- df[1:5, c("x1","x2","x3")]
```

```
cate_hat <- cate(cfit, newdata = Xnew, type = "mean", level = 0.90)
```

```
cqte_hat <- cqte(cfit, newdata = Xnew, probs = c(0.50, 0.90), level = 0.90)
```

```
qs    <- c(0.25, 0.50, 0.75)
Xgrid <- expand.grid(lapply(df[c("x1","x2","x3")], quantile, probs = qs))
```

```r
pred_q <- predict(cfit, newdata = Xgrid, type = "quantile", p = c(0.50, 0.90))
```

```r
pred_s <- predict(cfit, newdata = Xgrid, type = "survival", y = rep(4, nrow(Xgrid)))
```

```r
pred_q_trt <- attr(pred_q, "trt")
pred_q_con <- attr(pred_q, "con")
```

3.4.7 Bulk-only causal mixtures (no GPD tail)

To run the same two-arm regression without a GPD tail, use the bulk-only wrapper `dpmix()` (or set `GPD=FALSE` at bundle construction). All causal estimand and prediction functions (`ate`, `qte`, `cate`, `cqte`, and `predict`) operate the same way, now interpreting $F_a(\cdot \mid \boldsymbol{x})$ as the bulk mixture distribution.

4 Data analysis I: CRP mixture regression (bulk-only) with model-based clustering

This application demonstrates model-based clustering from a *conditional* Dirichlet process (DP) mixture regression, using the Chinese restaurant process (CRP) backend and the bulk-only likelihood (no GPD tail). Clusters are inferred from posterior draws of the latent membership indicators and summarized using a posterior similarity matrix (PSM), which is invariant to label switching.

4.1 Dataset and objective

We use the Boston housing data (MASS), treating each census tract as an observational unit. Let

$$\mathcal{D} = \{(y_i, \boldsymbol{x}_i)\}_{i=1}^n,$$

where y_i is the per-capita crime rate crim for tract i and $\boldsymbol{x}_i$ is a vector of tract characteristics. The goal is twofold: (i) flexibly model the conditional distribution of a positive, right-skewed outcome and (ii) identify latent groups of tracts with distinct regression patterns.

4.2 CRP mixture regression model (bulk-only)

We fit a DP mixture of lognormal regressions. Conditional on a latent membership $z_i \in \{1, 2, \ldots\}$, the outcome follows the bulk kernel introduced earlier:

$$y_i \mid z_i = k, \boldsymbol{x}_i \sim \text{Lognormal}(\mu_{ik}, \sigma_k)\,, \tag{49}$$

$$\mu_{ik} = g\big(\boldsymbol{x}_i^\top \boldsymbol{\beta}_k\big)\,, \qquad g(\eta) = \eta, \tag{50}$$

where $\boldsymbol{\beta}_k$ are component-specific regression coefficients and $\sigma_k > 0$ is the component-specific log-scale standard deviation. The DP prior induces a random partition through the CRP representation,

$$(z_1, \ldots, z_n) \mid \alpha \sim \text{CRP}(\alpha),$$

with $\alpha > 0$ controlling the expected number of occupied clusters. In CausalMixGPD, the CRP backend represents up to components=K clusters in a finite NIMBLE model; the realized number of occupied clusters is then monitored and checked against this upper bound.

4.3 Posterior simulation, convergence checks, and parameter extraction

Posterior simulation is carried out by MCMC. We run two chains and assess convergence using standard diagnostics (trace plots, autocorrelation, effective sample sizes, and $\widehat{R}$ when applicable), along with a mixture-specific diagnostic: the posterior distribution of the number of occupied clusters.

A key practical point for this analysis is that we explicitly request link-mode for meanlog so the CRP model is a *mixture regression* rather than a purely unconditional mixture. This is done via param_specs in the wrapper call below.

```
fit_clust <- dpmix(
  formula = crim ~ lstat + rm + nox,
  data = train_dat,
  backend = "crp",
  kernel = "normal",
  components = 5,
  mcmc = mcmc_fixed
)
```

```
  sample   n
1  train 404
2    new 102
```

4.4 Allocation plot: training vs new data

For clustering, we report old (training) and new-sample cluster tables and a bar chart comparing cluster frequencies.

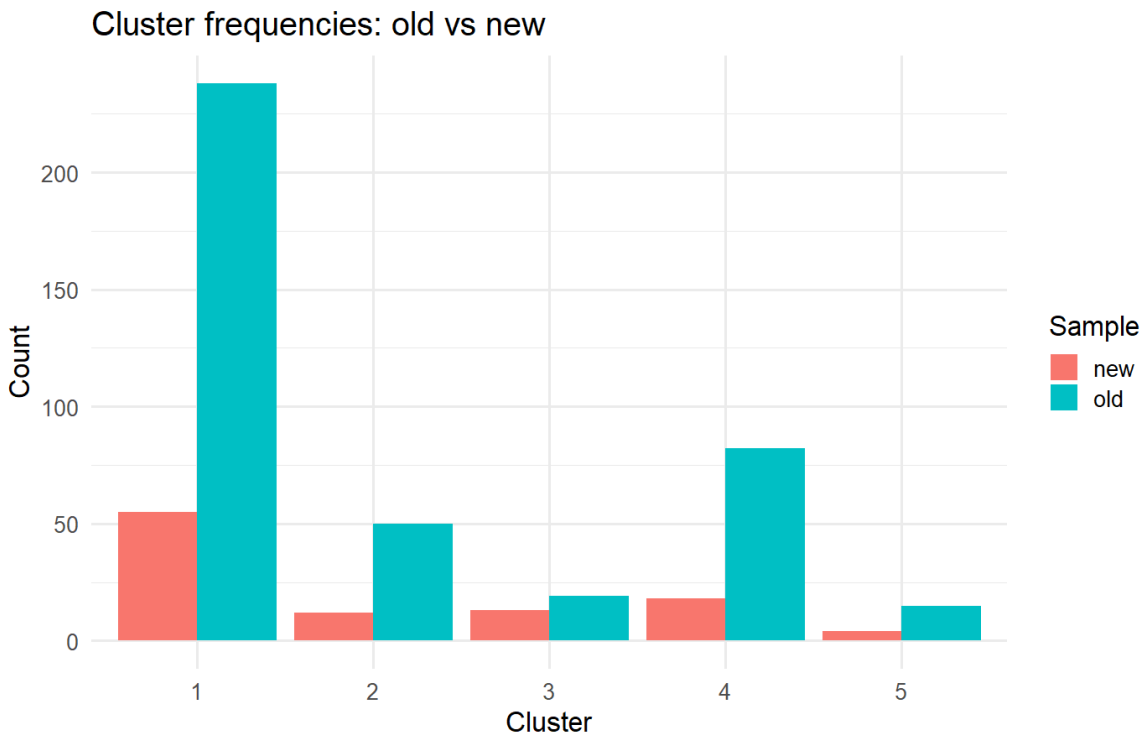
```
cluster_alloc_new <- allocation(fit_clust, newdata = newdata_cluster)
```

```
  cluster n_train
1       1     238
2       2      50
3       3      19
4       4      82
5       5      15
```

```
  cluster n_new
1       1    55
2       2    12
3       3    13
4       4    18
5       5     4
```

```
  sample       min       q25    median       q75       max
1    old 0.3595995 0.5446042 0.8469694 0.8742747 0.8954715
2    new 0.2732306 0.5608872 0.8181139 0.9030104 0.9934707
```

```
ggplot(cluster_old_new_counts, aes(x = cluster, y = n, fill = sample)) +
  geom_col(position = "dodge") +
  labs(
    title = "Cluster frequencies: old vs new",
    x = "Cluster",
    y = "Count",
    fill = "Sample"
  ) +
  theme_minimal(base_size = 10)
```



5 Data analysis II: Spliced causal mixture regression with ATE, QTE, CATE and CQTE

This application demonstrates causal estimands from a two-arm spliced Dirichlet process (DP) mixture regression with a generalized Pareto (GPD) tail. In contrast to Section~4, where the focus is model-based clustering under a CRP bulk-only regression, here the focus is inference on mean and quantile treatment contrasts, including conditional (covariate-specific) effects and extreme upper-tail behavior.

5.1 Dataset and objective

The AER package does not ship the National JTPA experimental data as an in-package dataset. Instead, we use a bundled causal benchmark data object to provide a clean and reproducible entry point for a heavy-tailed earnings-style application.

Let Y denote post-program earnings (USD), $A \in \{0, 1\}$ denote randomized assignment to training, and $\boldsymbol{x}$ denote baseline covariates including previous earnings and demographics. The scientific goal is to quantify how training changes (i) average earnings and (ii) distributional features of earnings, with special attention to the upper tail.

Throughout, we report four causal estimands:

$$\begin{aligned}
\mathrm{ATE} &= \mathbb{E}\{Y(1)\} - \mathbb{E}\{Y(0)\}, \\
\mathrm{QTE}(\tau) &= Q_{Y(1)}(\tau) - Q_{Y(0)}(\tau), \\
\mathrm{CATE}(\boldsymbol{x}) &= \mathbb{E}\{Y(1) \mid \boldsymbol{X} = \boldsymbol{x}\} - \mathbb{E}\{Y(0) \mid \boldsymbol{X} = \boldsymbol{x}\}, \\
\mathrm{CQTE}(\tau, \boldsymbol{x}) &= Q_{Y(1)|\boldsymbol{X}=\boldsymbol{x}}(\tau) - Q_{Y(0)|\boldsymbol{X}=\boldsymbol{x}}(\tau),
\end{aligned}$$

where $Q(\tau)$ denotes the τ-quantile. The standardized estimands (ATE, QTE) integrate over the empirical distribution of $\{\boldsymbol{x}_i\}_{i=1}^n$; the conditional estimands (CATE, CQTE) are evaluated at user-chosen covariate profiles.

5.2 Spliced DP mixture regression model

We model arm-specific conditional outcome distributions $F_a(\cdot \mid \boldsymbol{x})$ via a spliced construction:

$$f_a(y \mid \boldsymbol{x}) = \sum_j w_{aj}(\boldsymbol{x})\, k(y \mid \Theta_{aj})\, \mathbf{1}(y \le u) + \{1 - F_a(u \mid \boldsymbol{x})\}\, g(y \mid u, \sigma_a, \xi_a)\, \mathbf{1}(y > u),$$

where the bulk kernel $k(\cdot)$ is a DP mixture regression (stick-breaking backend) and the tail density $g(\cdot)$ is GPD with scale $\sigma_a > 0$ and shape ξ_a. The GPD tail index ξ_a controls extremal heaviness (e.g., $\xi_a > 0$ corresponds to heavy tails). This model stabilizes inference for extreme quantiles by coupling nonparametric bulk flexibility with EVT-consistent tail extrapolation.

5.3 Model fitting

We fit a two-arm spliced mixture using a lognormal bulk kernel. The MCMC settings below are intentionally modest for vignette speed; in substantive analysis we recommend longer runs and sensitivity checks (e.g., components, threshold priors, and prior scales).

```r
mcmc_fixed <- list(
  niter = 120,
  nburnin = 40,
  thin = 1,
  nchains = 1,
  seed = 101,
  show_progress = FALSE
)
```

```r
fit <- dpmgpd(
  x = y,
  X = X,
  treat = A,
  backend = "sb",
  kernel = "normal",
  components = 4,
  mcmc = mcmc_fixed
)
```

```
     metric value
1         n   500
2         p     3
3 n_treated   309
4 n_control   191
```

5.4 Standardized estimands: ATE and QTE

We first summarize the overall average effect using `ate()`, which aggregates draw-wise conditional mean contrasts over the empirical covariate distribution. We then compute quantile effects at a grid including upper-tail levels.

```r
ate_fit <- ate(fit, show_progress = FALSE)
```

```
  id   estimate      lower     upper
1  1 -0.4117924 -0.7535828 0.1149462
```

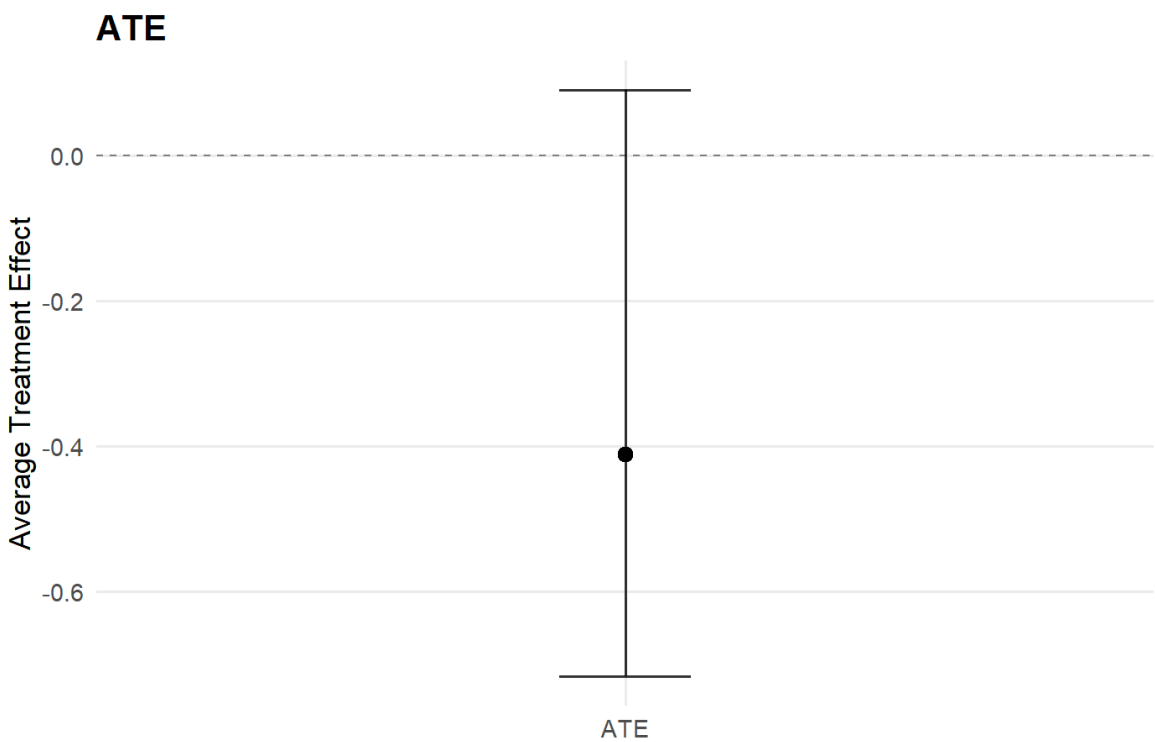
```r
qte_fit <- qte(fit, probs = taus, show_progress = FALSE)
```

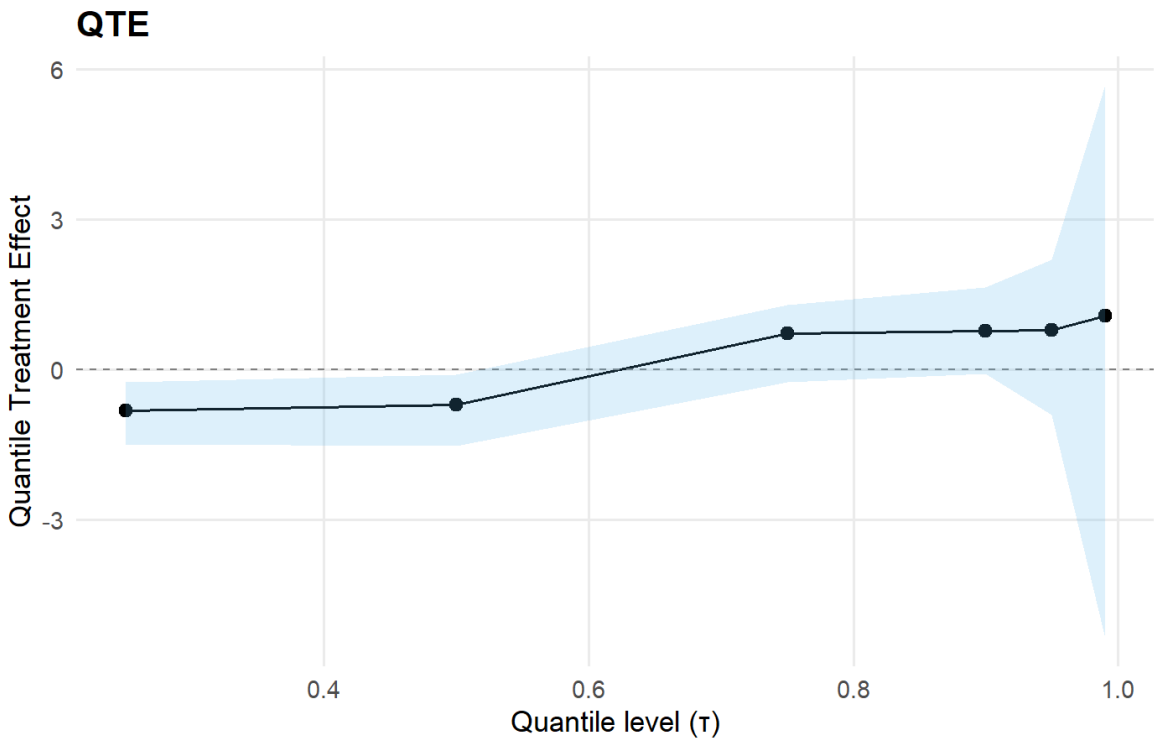
```
  id index   estimate      lower      upper
1  1  0.25 -0.8716460 -1.4502066 -0.2372132
```

```
2  1  0.50 -0.6941083 -1.4486938 -0.1739043
3  1  0.75  0.7638244 -0.1283850  1.3635846
4  1  0.90  0.8399611 -0.1399917  1.9621082
5  1  0.95  0.9459238 -0.5559643  2.4020646
6  1  0.99  2.2808769 -1.9939012 11.8721445
```

```r
ate_effect_plot <- plot(ate_fit, type = "effect")
ate_effect_plot
```

```r
qte_effect_plot <- plot(qte_fit, type = "effect")
qte_effect_plot
```





5.5 Conditional estimands: CATE and CQTE at representative profiles

To illustrate heterogeneity, we evaluate conditional effects at two covariate profiles: (i) a `typical'' profile at sample medians and (ii) a`high previous earnings'' profile at the 80th percentile of previous earnings, holding other covariates at medians.

```
col_med <- apply(X, 2, median, na.rm = TRUE)
x_typical <- col_med
x_highprev <- col_med
profile_var <- if ("prevearn" %in% colnames(X)) "prevearn" else colnames(X)[1]
x_highprev[profile_var] <- as.numeric(quantile(X[, profile_var], 0.80, na.rm = TRUE))
xnew <- rbind(typical = x_typical, high_prev_earn = x_highprev)
```

```
  profile_var
1          x1

                       x1          x2         x3
typical        0.07649836 -0.09628321 0.01209002
high_prev_earn 0.79678466 -0.09628321 0.01209002
```

```
cate_fit <- cate(fit, newdata = xnew, show_progress = FALSE)
```

```
  id   estimate      lower       upper
1  1 -0.3678887 -0.7546204 -0.07328494
2  2 -1.4583216 -2.4668451 -0.78228931
```

```
cqte_fit <- cqte(fit, probs = taus, newdata = xnew, show_progress = FALSE)
```

```
   id index   estimate      lower       upper
1   1  0.25 -0.2157592 -0.5805429  0.08519506
2   1  0.50 -0.2653653 -0.4044642 -0.07230213
3   1  0.75 -0.2282270 -0.4720426  0.05270702
```

```
4   1  0.90 -0.1783537 -0.8925062  0.33589134
5   1  0.95 -0.1166213 -1.2130864  0.59538829
6   1  0.99 -0.6052849 -3.2226522  0.81979673
7   2  0.25 -1.0029540 -1.4523082 -0.60897787
8   2  0.50 -0.7302790 -1.2913572 -0.17271939
9   2  0.75 -1.1369796 -2.1213103 -0.57987170
10  2  0.90 -2.5609432 -3.9700641 -1.28956486
11  2  0.95 -2.5888083 -4.2046625 -1.28730194
12  2  0.99 -2.7664670 -5.7033867 -0.92284556
```

CATE/CQTE effect plots are omitted in this PDF.

5.6 Tail behavior

A key advantage of the spliced model is direct posterior inference on the tail index ξ_a by arm. Larger ξ_a indicates a heavier upper tail and greater propensity for extreme earnings.

```
        arm      mean         sd    q0.025    q0.500    q0.975
23  treated 0.5830602 0.04488664 0.4780895 0.5805598 0.6883067
231 control 0.3667860 0.11154470 0.1951404 0.4457394 0.4635703
```

5.7 Interpretation

The ATE summarizes the average shift in earnings under training, while QTE describes how the effect varies across the marginal outcome distribution. CATE and CQTE extend these contrasts to covariate-specific comparisons, illustrating treatment effect heterogeneity in both central and extreme quantiles. Finally, arm-specific tail indices ξ_a provide a parsimonious summary of whether training changes extremal behavior beyond what is captured by bulk-only regression.

6 Discussion

7 Supplementary Materials

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